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Case Number: 25STCV04456 Hearing Date: September 21, 2026 Dept: 224

Alcudia v. Elhilu Service Station, Inc.

TENTATIVE RULING

The demurrer is OVERRULED in part and SUSTAINED with leave to amend in part. The Motion to Strike is DENIED in part and GRANTED with leave to amend in part.

The demurrer to the first and second causes of action is OVERRULED. The demurrer to the ninth cause of action is SUSTAINED with leave to amend.

Plaintiffs shall file their Amended Complaint within 20 days.

The Case Management Conference is Continued to February 24, 2027 at 8:30 a.m.

Introduction

On February 18, 2025, Plaintiffs Adam Christopher Marshall and Thomas Alton Reed filed a Complaint in this action arising from their 2023 purchase of a single-family residence located at 5700 Aldama, Los Angeles, California (the "Aldama Home"), and the alleged failure of the brokers and agents involved in the transaction to disclose cracked walls and a crumbling foundation.

On October 9, 2025, Plaintiffs filed a First Amended Complaint ("FAC") asserting ten causes of action.

On November 17, 2025, Defendants filed the instant Demurrer and Motion to Strike to Plaintiffs' First Amended Complaint. Defendants demur to the First, Second, and Ninth causes of action only, and move to strike the punitive damages allegations at paragraphs 32, 43, and 97 and the corresponding portion of the prayer at page 19, line 1.

On September 9, 2026, Plaintiffs filed oppositions to the Demurrer and to the Motion to Strike.

Meet and Confer

Before filing a demurrer or a motion to strike, the demurring or moving party is required to meet and confer with the party who filed the pleading demurred to or the pleading that is subject to the motion to strike for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (CCP §§ 430.41)

The Declaration of Nicole S. Kohanof, executed on November 17, 2025, states that counsel sent written meet and confer correspondence on November 6, 2025 setting forth the grounds for the contemplated demurrer and motion to strike, and that counsel conducted a telephonic meet and confer with Plaintiffs' counsel Paul S. Sienski on November 12, 2025, after which the parties were unable to reach agreement. The Court finds the meet and confer requirement satisfied.

Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Wilson v. Transit Authority of City of Sacramento (1962) 199 Cal.App.2d 716, 720-21.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the pleading alone, and not on the evidence or facts alleged." (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (Id.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn, supra, 147 Cal.App.4th at 747.)

First Cause of Action: Fraudulent Concealment

Defendants demur to the first cause of action on the grounds that Plaintiffs fail to plead concealment with the specificity required of fraud claims, and fail to allege facts showing Defendants' actual knowledge of the alleged defects, deliberate suppression, or reliance and causation.

The elements of fraudulent concealment are: (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) the plaintiff sustained damage as a result of the concealment or suppression. (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 40-41.)

While fraud must generally be pled with particularity, the specificity requirement is relaxed in concealment cases. "[I]t is harder to apply [the specificity] requirement to a case of simple nondisclosure. 'How does one show "how" and "by what means" something didn't happen, or "when" it never happened, or "where"?' (Alfaro v. Community Housing Improvement System & Planning Assn., Inc. (2009) 171 Cal.App.4th 1356, 1384; accord Jones v. ConocoPhillips Co. (2011) 198 Cal.App.4th 1187, 1199-1200.) Less particularity is also required where the facts lie more in the knowledge of the defendant. (Committee on Children's Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197, 217.)

Defendants' reliance on Stansfield v. Starkey (1990) 220 Cal.App.3d 59, 73, Lazar v. Superior Court (1996) 12 Cal.4th 631, 645, and Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 157 is misplaced as to this cause of action. Those authorities address affirmative misrepresentations and false promises, and the "how, when, where, to whom, and by what means" formulation is directed at representations that were tendered, not at facts that were withheld.

In any event, the FAC identifies the actor (Ramirez, for whom Maxres was the responsible broker), the document (the Transfer Disclosure Statement), the date (April 27, 2023), the mechanism (Section III left blank with the box checked for an attached Agent Visual Inspection Disclosure, and no AVID ever delivered), the recipient (Douglas Elliman, for transmittal to Plaintiffs), and the categories of concealed facts (existing cracks in the walls; a crumbling and failing foundation; and a defective and incomplete TDS lacking the listing broker's AVID). (FAC ¶¶ 18, 24-25.)

Defendants' argument that no facts show knowledge fails on the face of the pleading. Paragraph 16 alleges that at or about the time the seller and Century 21 Allstars entered into the listing agreement, the walls bore cracks indicative of foundation problems, the foundation was crumbling, and "[t]he owner/seller and Century 21 Allstars took steps to hide the cracks and the crumbling foundation." (FAC ¶ 16.) That is a direct allegation of both knowledge and active concealment, which the Court must accept as true. Whether Plaintiffs can prove it is not before the Court on demurrer. (Stevens v. Superior Court (1986) 180 Cal.App.3d 605, 609-610.)

The duty element is adequately pleaded. A seller's agent owes a prospective buyer a duty to conduct a reasonably competent and diligent visual inspection of reasonably and normally accessible areas and to disclose to the buyer all facts materially affecting the value or desirability of the property that the inspection reveals. (Civ. Code § 2079, subd. (a); see also Civ. Code §§ 1102 et seq.) The FAC alleges Defendants owed that duty and breached it by failing to prepare or deliver an AVID while representing on the TDS that one was attached. (FAC ¶¶ 24, 27.)

Intent and reliance are sufficiently alleged. The FAC pleads intent to deceive, a motive (closing escrow to obtain a commission), Plaintiffs' ignorance of the concealed facts, and that Plaintiffs would have terminated the purchase agreement had the facts been disclosed. (FAC ¶¶ 26-32.) Defendants' argument that the buyers' broker and the independent inspector broke the chain of causation raises factual disputes not resolvable on demurrer.

The demurrer to the first cause of action is OVERRULED.

Second Cause of Action: Fraud – Intentional Misrepresentation

Defendants demur to the second cause of action on the grounds that a checked box on a statutory form cannot constitute an affirmative representation about the condition of the property, and that scienter, intent, and reliance are pleaded only in conclusion.

The elements of fraud are: "(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." (Charnay v. Cobert (2006) 145 Cal.App.4th 170, 184.)

In California, fraud must be pled with specificity. (Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 184.) "The particularity demands that a plaintiff plead facts which show how, when, where, to whom, and by what means the representations were tendered." (Cansino v. Bank of America (2014) 224 Cal.App.4th 1462, 1469.)

Further, intentional misrepresentation requires the defendant to represent a material fact as true when it is actually false and the defendant knew the representation was false when the defendant made it, or the defendant made the representation recklessly and without regard for its truth. (See Manderville v. PCG & S Group, Inc. (2007) 146 Cal.App.4th 1486, 1498.)

As to a corporate defendant, a plaintiff must allege the name of the person who made the representation, that person's authority to speak, to whom the person spoke, what was said or written, and when. (Tarmann, supra, 2 Cal.App.4th at 157.)

Defendants' strongest argument is that a blank Section III with a checked AVID box is not an affirmative representation that the home had no wall cracks and a sound foundation. The Court agrees that paragraphs 35(A) and 35(B) of the FAC sit uneasily with paragraph 18, which alleges that Century 21 Allstars "did not make any disclosures in Section III of a TDS." A form on which nothing is stated is an unlikely vehicle for an affirmative statement of fact about condition.

That does not dispose of the cause of action. Paragraph 35(C) alleges a distinct and affirmative representation: that the TDS Ramirez signed on April 27, 2023 represented that a TDS provided to Plaintiffs was proper, legal, and included an AVID prepared by Maxres and Ramirez. The FAC alleges no AVID was ever prepared or delivered to Douglas Elliman or to

Plaintiffs. (FAC ¶¶ 18, 24, 36(C).) That allegation identifies the speaker (Ramirez), her authority (listing agent for the responsible broker Maxres), the writing (the TDS), the date (April 27, 2023), the content (that the AVID was attached), and the recipient (Douglas Elliman, for delivery to Plaintiffs). Tarmann is satisfied as to both Defendants.

Materiality is adequately pleaded. The FAC alleges the AVID is the operative broker disclosure, that its absence was itself a red flag and a ground for termination of the purchase agreement, and that checking the box created the false impression that there was nothing to disclose while starting the cancellation period running. (FAC ¶¶ 10-11, 18, 37.) Scienter is alleged: Defendants "knew they were not delivering their AVID to DEC or the BUYERS." (FAC ¶ 37.) Reliance and damages are alleged at paragraphs 38 through 42.

Because at least one theory within the count is sufficiently pleaded, the demurrer must be overruled as to the entire cause of action. (PH II, Inc., supra, 33 Cal.App.4th at 1682.)

The demurrer to the second cause of action is **OVERRULED**.

Ninth Cause of Action: Intentional Infliction of Emotional Distress

Defendants demur to the ninth cause of action on the grounds that the conduct alleged is not outrageous as a matter of law, that severe emotional distress is pleaded only in conclusion, and that emotional distress damages arising from economic loss in a real property transaction are barred. Defendants also demur on the ground of uncertainty. (CCP § 430.10(f).)

The elements of an intentional infliction of emotional distress cause of action are: (1) extreme and outrageous conduct by the defendant; (2) intention to cause or reckless disregard of the probability of causing emotional distress; (3) severe emotional suffering; and (4) actual and proximate causation of the emotional distress. (See *Moncada v. West Coast Quartz Corp.* (2013) 221 Cal.App.4th 768, 780; *Wilson v. Hynek* (2012) 207 Cal.App.4th 999, 1009.)

To satisfy the element of extreme and outrageous conduct, defendant's conduct "must be so extreme as to exceed all bounds of that usually tolerated in a civilized society." (*Moncada*, supra, 221 Cal.App.4th at 780 (quoting *Trerice v. Blue Cross of California* (1989) 209 Cal.App.3d 878, 883).)

"[I]t is not enough that the defendant has acted with an intent which is tortious or even criminal, or that he has intended to inflict emotional distress, or even that his conduct has been characterized by 'malice,' or a degree of aggravation which would entitle the plaintiff to punitive damages for another tort." (*Cochran v. Cochran* (1998) 65 Cal.App.4th 488, 496.) "Liability has been found only where the conduct has been so outrageous in character, and so extreme in degree, as to go beyond all possible bounds of decency, and to be regarded as atrocious, and utterly intolerable in a civilized community." (*Id.*) While there is no bright-line as to what constitutes outrageous conduct and thus this involves a case-by-case analysis, courts can determine whether conduct was sufficiently outrageous at the demurrer stage. (*Id.* at 494.)

The conduct alleged against these Defendants is the failure to prepare and deliver an AVID, checking a box on a statutory disclosure form, disregarding an internal closing checklist, and permitting escrow to close. (FAC ¶ 92.) Taken as true, those allegations describe a serious breach of statutory disclosure duties — which is why the first and second causes of action survive — but they do not describe conduct directed at Plaintiffs personally that goes beyond all possible bounds of decency. Disclosure and paperwork omissions in an arm's-length residential transaction, standing alone, do not meet the outrageousness standard as a matter of law.

The severity element is likewise pleaded in bare conclusion. Paragraph 94 states only that "[t]he Plaintiffs suffered severe emotional distress," with no facts as to the nature, duration, or manifestation of that distress. That is insufficient. (*Hughes*, supra, 46 Cal.4th at 1051.)

The demurrer to the ninth cause of action is SUSTAINED, with leave to amend.

Motion to Strike

Defendants move to strike Plaintiffs' prayer for punitive damages and related allegations from the FAC — specifically paragraphs 32, 43, and 97, and the prayer at page 19, line 1 — on the grounds the FAC fails to state facts sufficient to support the recovery of punitive damages.

Civil Code Section 3294(a) authorizes the recovery of punitive damages in non-contract cases “where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice...

(1) “Malice” means conduct which is intended by the defendant to cause

injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.

(2) “Oppression” means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person’s rights.

(3) “Fraud” means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.

(Civ. Code § 3294(c)(1)-(3).)

The Court has overruled the demurrer to the first and second causes of action, finding Plaintiffs have adequately alleged fraudulent concealment and intentional misrepresentation premised on conduct including concealing known cracks and a crumbling foundation, and signing a Transfer Disclosure Statement representing that an Agent Visual Inspection Disclosure was attached when none was prepared or delivered. (FAC ¶¶ 16, 24-27, 35-37.) These allegations, taken as true at the pleading stage, describe intentional and dishonest conduct directed at depriving Plaintiffs of property and of their contractual right to terminate the purchase agreement, undertaken so that escrow would close and a commission would be paid. Such conduct, if proven, would support a finding of malice, oppression, or fraud as defined by Civil Code section 3294(c) as against Ramirez. The motion to strike paragraphs 32 and 43 as to Ramirez is DENIED.

As to Maxres, Inc., however, the FAC alleges only that “MAXRES violated its own custom and practice since the Closing Check List revealed Century 21’s AVID had not been provided to the plaintiffs” and that “MAXRES ratified Ramirez[’s] violations so that escrow would close.” (FAC ¶¶ 32, 43.) No officer, director, or managing agent is identified by name or role, and no facts are alleged showing that any such person reviewed the Closing Check List, learned the AVID was missing, or approved the close of escrow with knowledge of the omission. The allegation regarding the checklist is itself pleaded on information and belief as an industry custom the corporation is alleged to have adopted. (FAC ¶ 11.) That does not satisfy Civil Code section 3294(b). The motion to strike paragraphs 32 and 43 as to Maxres, Inc. is GRANTED, with leave to amend.

Further, the Court has sustained the demurrer to the ninth cause of action with leave to amend. Because the Court has allowed Plaintiffs leave to amend to address the pleading deficiencies in that cause of action, and punitive damages may be awarded upon a properly pled IIED claim, the ruling as to paragraph 97 is without prejudice — Plaintiffs may plead punitive damages upon amendment of the ninth cause of action.

Defendants' Motion to Strike Punitive Damages from Plaintiffs' FAC is DENIED as to Patricia Ramirez, and GRANTED as to Maxres, Inc. and as to paragraph 97, with leave to amend.

Conclusion

The demurrer is OVERRULED in part and SUSTAINED with leave to amend in part. The Motion to Strike is DENIED in part and GRANTED with leave to amend in part.

The demurrer to the first and second causes of action is OVERRULED. The demurrer to the ninth cause of action is SUSTAINED with leave to amend.

Plaintiffs shall file their Amended Complaint within 20 days.

The Case Management Conference is Continued to February 24, 2027 at 8:30 a.m.

Moving party to give notice.

Parties who intend to submit on this tentative must send an email to the Court at SMCDept224@lacourt.org indicating intention to submit on the tentative, and copying all parties in the email communication. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court will adopt the tentative as the final order, or take the matter off calendar at its discretion.